Unit-4
Buyer Behavior

- Concept of buying Behavior
- Model of consumer behavior
- Consumer behavior-buying process and factor influencing
- Organizational buyer behavior – types of buying situation, Buying decision process and influencing factors.

Buyer Behavior

Concept:

- A buyer is anyone who might buy a given product.
- Buyers are the people who make an actual purchase.
- Buyer may be either an individual person or organization that have an interest in the product and the means to acquire it.
- Buying Behavior is the <u>decision processes</u> and acts of people involved in buying and using products.
- According to Walter – "Consumer behavior is the process where by individual decides what, where, when, how, from whom to purchase the goods and services."
- So buyers' behavior refers to any action a consumer takes toward a product or service. This may be positive or negative.
- On the basis of purpose of buying goods, buyers can be classified into two groups.

  Organizational buyers i.e. industrialists, resellers, government, organizations, educational institutions, administrative offices etc.

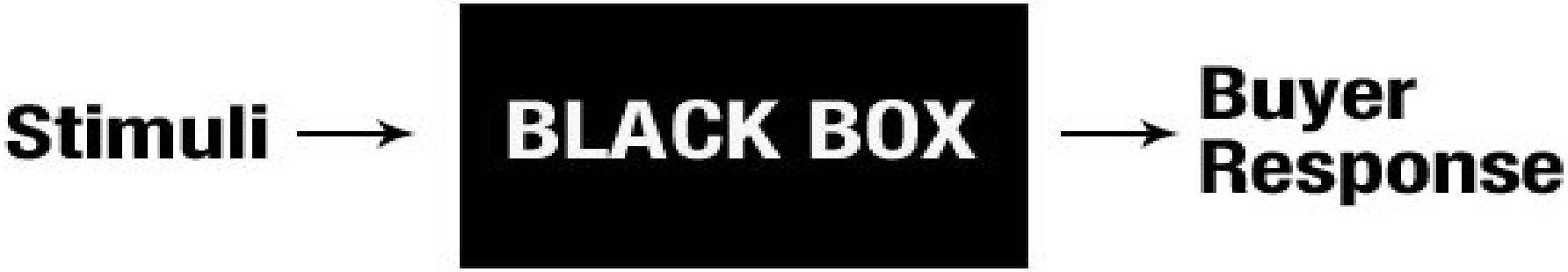
  Individual buyers i.e. buy for consumption

Model of consumer behavior

- Consumers make many buying decision. Most large companies research consumer buying decisions in great detail to find out the answer of questions like what consumers buy, where, how much they buy, why they buy and so on.

1. Marketing and other stimuli: stimuli is something that creates the need in the person's mind. Or stimuli is source that helps to inspire or provide ideas in the mind of buyer so that s/he is interested in acquiring a product or service. Like 4ps or economic, technological, cultural stimuli.
2. Buyer's black box: buyer's black box is refers to the information related to buyer about how s/he analyze different products and decides about buying the desire product or services. This "box" contains a variety of factors that exist inside the person's mind. These include characteristics of the consumer, such as their beliefs, values, motivation, lifestyle, and so on.
3. Buyer's response: The outcome of the thinking that takes place in the black box is the buyer's response. These refer to buying attitudes and preferences. Also, the purchase behavior is an outcome.

- This model shows that marketing and other stimuli enter the consumer's black box and produce certain responses. Marketer must understand what is inside the black box of the consumers.



Model of consumer behavior

- High involvement and low involvement purchase

Consumer buying process

- Consumer behavior is concerned with factors that influence product purchase decisions and product usage.
- A rational consumer usually follows certain process while buying products.
- Consumer buying process has five different stages which are as follows:

1. Need recognition
2. Information search
3. Evaluation of alternatives
4. Purchase decision
5. Post purchase evaluation

1. Need recognition: it means awareness of a want, desire or consumption problem, without the fulfillment of which the consumer becomes dissatisfied and generally builds up tension. Consumers' need may be functional need (basic need created internally) due to particular condition, or psychological need (additional need) due to advertisement.
2. Information search: 2nd step, the consumer is exposed to the existence of products that may satisfy his/her need. Information search can focus on the availability of brand, product features, seller character, warranties, prices etc. Information search may be: internal (retrieval of information stored in the memory), external (information sources other than memory i.e. newspaper, internet, book, magazines etc.) and Other information can be collected from:
   - Experience of the consumer with a product
   - Experience gain from receipt of free samples from marketers
   - Personal contacts with friends, relatives and associates
   - Sales persons, advertising, packaging and displays
   - Public sources i.e. government reports, news presentations and reports.

3. Alternative evaluation: while evaluating the alternatives, consumer takes the following steps:
   - Organize the data into a desired form that is useful in evaluation.
   - Establish meaningful decision criteria such as
   - Cost criteria: price, repairs, installation, operating cost, cost of extra etc.
   - Performance criteria: durability, efficiency, economy, materials used and dependability.
   - Suitability criteria: it include brand style
   - Convenience criteria: it include product extras.
4. Purchase decision: it means selecting one alternative among the many. At this stage, consumer may face many decision problems like how to travel, from which store to buy, which brand, etc. Product decision can be influence by social factors (family, friends, neighbor), situational factors (income, dealer terms and conditions, product availability)
5. Post purchase decision: rational consumer usually evaluates the product in terms of performance and the satisfaction derived from the product. The level of satisfaction may be judged on the basis of several criteria like: taste, quality, service delivered by the seller, shopping convenience, cost difference etc. If the consumer fully satisfied with the above criteria, s/he will re-purchase the same product otherwise make new purchase decision.

Factors Influencing Consumer Behavior

Consumer behavior is affected by several factors. Some of the common factors affecting consumer behavior are as follows:

- Economic determinants
- Socio-cultural determinants
- Demographic determinants
- Psychological determinants

Economic Determinants

- Buying decision primarily depends upon the purchasing power and willingness of the consumer. Purchasing power of consumer depends on various factors i.e.

a. Level of personal income: the ability of the consumer to pay money depends upon the level of his/her personal income. Higher the income higher the purchasing capacity. An individual's income may be either disposable or discretionary. (Disposable income is the amount of money you have after taxes, while discretionary income is the amount of money you have left after paying for necessities. Like food, clothes, shelter etc.). Increase the discretionary income, increase the purchasing power.

b. Income of other members of the family: increase in income from other family members also increase purchasing power of consumer.

c. Expectation of income in future: if buyer expects that, in the near future, s/he would receive additional income from any other sources, s/he will be willing to spend more money.

d. Availability of liquid assets: the level of consumer spending on product and service also depends on the availability of liquid assets like bank balance, cash in hand, shares, government bonds etc.

e. Availability of credit facility: if adequate credit facility is available consumer will tend to spend more on products and services.

f. Past expenditure habit: if the established living standard in the past was high, the spending standard of the consumer will also be higher although s/he may not have adequate income during the period as s/he habituated to spend more.

Socio Cultural Determinants

- Society consists of individuals, groups, families of diverse nature, tastes, values, motives, attitudes and life-style. Socio-cultural factors include:

a. Family: family is a social institution. It is a group of individuals related to each other i.e. father, mothers, siblings. Family can be joint/nuclear. One person may have greater influence on buying decision in nuclear family where as many members have influence on buying decision in joint family.

b. Reference groups: it is a group of people with similar values, beliefs and attitude. This group consists of all the groups that have a direct/indirect influence on person's attitude or behavior.

c. Social class: this classes are formed due to difference in income levels. Social class greatly affects the buying behavior of an individual. Nepalese society has 3 classes i.e. upper, middle, lower class.

d. Opinion leaders: opinion leaders are the individuals who lead to certain reference groups. Opinion leadership refers to the degree to which an individual influences others in a given choice situation.

e. Culture: culture is the mankind's knowledge, belief, art, morals, law, customs, religions and any other capabilities and habits acquired by human as members of a certain society. It can be tangible (food, cloth, house) and intangible (language, religion, beliefs, values, norms, attitude). The consumption pattern of each of these groups differs significantly from one another. Like vegetarian and non vegetarian.

Demographic Determinants

- Demographic factors can influence the individuals who are involved in family decision-making. Those factors can affect the particular stage of the decision process. Demographic variables play significant role in the purchase decision of consumers. They are:

a. Age group: age of consumers directly or indirectly influences purchase decision of consumer. Basically, in purchase of clothes, vehicles, shoes, the age of consumer influence the choice of goods.

b. Gender: the purchase decision differs based on the gender like male, female or other. Females are choosy, fashion conscious, but male are not very fashion conscious rather brand conscious.

c. Life style: life style consists of activities, interest and opinion of people. Based on life style, the consumer behavior is different.

d. Occupation: occupation of consumers also influence purchasing decision. Like businessmen prefer expensive than workers and farmers.

e. Family size and lifecycle: family size (large and small) influences the purchase decision of grocery items, food items, home appliances etc. Similarly, the family lifecycle (single, married, with child, retired etc. influence the purchasing decisions.

Psychological Determinants

- It is the mental characteristics or attitude of a person or group. Psychology of a person consists of several factors, which must be carefully analyzed by markers, these factors are:

a. Motivation

b. Perception

c. Learning

d. Beliefs and attitude

e. Personality

a. Motivation: motivation is an activity directed towards a goal. A person has many needs without the satisfaction of which s/he cannot be motivated. Motivation is derived from the Latin term ‘Movere’ means ‘to move’. Motivation is the set of forces that leads people to behave in particular ways. Some of the important theories of motivation are as follows:

- Abraham Maslow’s need hierarchy theory
- Fredrick Hertzberg two-factor motivation theory
- ERG theory

Maslow's hierarchy of needs

Satisfaction **No Satisfaction**

High ⟷ **Low**

Motivation Factors

- Achievement
- Recognition
- The work itself
- Responsibility
- Advancement and growth
- Work itself
- Possibility of growth

Dissatisfaction **No Dissatisfaction**

Low ⟷ **High**

Hygiene Factors

- Supervision
- Working condition
- Interpersonal relation
- Play ad security
- Company policy and administration
- Salary
- Job security
- Personal life
- status

b. Perception: perception is the process of selecting, organizing and interpreting information inputs by an individuals to produce meaning. The marketer must understand the impact that individual perception have on their purchase decisions.

c. Learning: when people perceive the meaning of an object or situation, they act. When they act, they learn. It means people learn through experiences. So learning refers to the effect of direct and indirect experiences on future behavior. A marketer must know how the consumers learn about a product. Stimulus-Response Theory states the learning process of consumer behavior.

d. Beliefs and attitude: belief is a descriptive thought a person holds about something. It is based on knowledge, opinion or faith. Attitude is judgment about people, place and think and reflected on one's behavior.

e. Personality: it can be describe as how a person affects others. How s/he understand and views himself/herself and his/her pattern of inner and outer measurable traits. It describes in terms of traits i.e. self-confidence, self-control, dominance, autonomy, sociability, adaptability, aggressive, conservative, defensiveness. Personality does influence the types and brand of products purchase.

Organizational buyer behavior

- Organizational buyer behavior is a process that businesses go through to purchase all the products and services needed for their operations. It includes researching, evaluating, negotiating and finalizing deals with suppliers. Government organizations, industries, wholesaler, retailers, service institutions are examples of organizational buyer.
- Raw materials, stationeries, machinery, equipment etc. are the examples of products that organizational buyer normally buy.
- They buy product for the following purposes:
    - Resell the products to earn profit (oil)
    - Buy products to use or modify them to develop new product (sweater)
    - To provide service to the buyer (service org.)

Features of organizational buying decision

a) They buy in large volume
b) Number of buyers are few
c) Demand is inelastic (very little changes in its demand)
d) Their demand is derived demand (depends on consumer demand)
e) They are buying experts
f) Use quotations, tenders, contract
g) They are concentrated in specific areas.

Major Types of Buying Situation

- Buying situations are the circumstances surrounding purchases, defined by the information available and the effort required from the buyer. There are 3 major buying situations. They are:

1. Straight rebuy: it is the simplest buying situation for the buyer. In this type, the buyer is making a routine purchase of a standard product or products with no modifications from a familiar supplier. In other word, the purchaser reorders the same product or service without making any changes.
2. Modified rebuy: in this situation, the buyer is looking to purchase a similar product, but there are one or more significant differences fort the previous purchase. In other word, the purchaser reorders the same product or service from the same company, but with some modifications. This may require additional research or analysis.
3. New task buy: The purchaser is buying a product or service for the first time. These situations are among the most difficult and time-consuming ones because typically the buyer has no previous experience with the product, the service or perhaps the vendors.

Organizational Buying Decision Process

- An organization follows several steps in buying their requirements. This process may vary from one another depending upon the nature of organization, volume of purchase, amount involved in the purchase.

1. Recognition the need or requirement of the organization: organizational buying process starts from need recognition, like: stationeries, furniture, raw materials, computers etc. Need in organization in two way. They are:
   - Internal stimuli (based upon something that you feel): If a company decide to produce new goods, it is called internal stimuli. It need to buy new goods and equipment, material, parts, additional services need etc.
   - External stimuli: when a buyer observe trade exhibition, then make the idea to buy new goods. This is made from outer environment and material should be purchased for this. It is external stimuli.

2. Need description: after the need is recognized, the buyers should describe need. While describing need, features of needed goods and needed quantity should be described. If the goods have standard, this task becomes easy. Otherwise it become complicated. This stage focus on characteristics and quantity of item with the help of the engineers, users about reliability, durability, price etc.
3. Product specification: the task of preparing specific description of goods is the third stage of organizational buying process. In this stage, description performance of goods is prepared to solve the problems. Such as quality, quantity, price, method of payment, delivery date and place etc.
4. Supplier search: at this stage, the buyer searches proper suppliers or sellers. Buyer prepares a list of suppliers to select proper suppliers. This list is prepared by looking at trade directory, searching in internet, asking other companies for suggestions etc. If the goods to be bought are new, complicated and costly, it need long time to search suppliers.
5. Proposal solicitation: at this stage, buyer calls best suppliers for submitting proposal. As the reaction, some send catalog or salesperson to the organization. If the product is costly and complicated, the buyer demands detailed proposal and if the product is technical, business organization calls for presenting the product itself.

6. Supplier selection: at the next stage, buyers assess the proposal and select one or more suppliers. For selecting the suppliers, a list is prepared and rating is made on the basis of their attribute and importance. Then the best supplier is selected. Analysis of the suppliers is done in the following ways.

Suppliers attribute	Very poor	Poor	Fair	Good	excellent
Price competitiveness			√		
Product quality, reliability					√
Service and repair capabilities					√
On-time delivery		√			
Quality of sales representatives			√		
Overall responsiveness to customer needs					√
Overall reputation					√

7. Order routine specification: in the next process, the buyer prepares final order. All the matter such as list items, technical specification, quantity, delivery time, return policies, warranties terms and conditions, service after sales etc. should be clearly mentioned.

8. Performance review: at this stage, the buyer reviews suppliers' performance. This type of review helps to take decision whether to continue relation with the supplier or end the relation. If the performance is satisfactory, the relation can be continued otherwise not.

Factors Influencing Organizational Buyer Behavior

Organizational buying is more complex, but it is more rational and logical. There are various factors that influence organizational buying which are as follows:

- Environmental factors:
- Organizational factors:
- Interpersonal factors:
- Individual factors:

Environmental factors

- Environmental factors consists of macro environmental factors that influence the organizational buying which are as follows:

a. Economic factors: the general economic condition of the market influences the buying decision of the organization because it influences the demand of the product, production, consumption, investment and saving of consumers. Changing economic condition influence the demand of the product among consumers and the consumer's demand directly influences the demand of the organization.

b. Political legal factors: these factors are another environmental factors that influence the purchase decision of the organizations. Political stability creates the investment environment for the organization and it increases the demand of product and services.

c. Technological factors: technological changes in communication, packaging, production process, transportation etc. directly influence the purchase decision of the organization. The use of internet and e-commerce, changes in packaging system, development of modern modes of transportation directly or indirectly influence the organizational buying decisions.

d. Social responsibility factors: social factors, particularly regarding the environment protection responsibility, influences the buying decision.

Organizational factors

- Organizational factors include the objective, goodwill, structure, and buying procedures also influence the buying decision of the organization.

a. Objectives: if the objective of the organization is profit maximization, the organization purchase low price products and if organization has the objective of maintaining quality, then it purchase high quality products.

b. Goodwill: if organization wants to maintain its goodwill, then it gives priority to quality rather than price while purchasing goods.

c. Structure: if there is a single person who is given the purchase authority, then purchase become easy. If purchase authority is given to purchase department, the purchase become more complex because many individuals may be involved in the purchase process.

d. Purchase procedure: the purchase procedures of the organization may be different such as contract, tender, sample, catalog, quotation etc. So, the purchase decision of the organization is affected by these purchase procedures that is used by the organization.

Interpersonal factors

- In the organization, buying decision process many individuals may be involved. They play various roles in the buying decision. They may have different work style, ideology, objectives, nature etc. so, there may be conflict as well.

a. Authority: most of the organizations apply the buying decision through group. Therefore, the buying decision is affected by the authority that is given to the buying group.

b. Interest: in the purchasing group, many individuals may be involved and they might have their own interest that influences the buying decision of the organization. some might have interest in quality, some have interest in price and so on.

c. Status: the buying group may not have the similar status, it may be represented by the staffs who are working in different levels of organizational hierarchy.

Individual factors

- Individual factors like age, education, income, job position, personality etc. also influence the buying decision of the organization.

a. Age: age of individual influence the selection of suppliers. Young age buyers want to build relationship with new suppliers, whereas older age buyer want to maintain relationship with established suppliers.

b. Education: if the buyer more educated, they make rational buying decision by considering each and every factor in the buying process.

c. Income: income refers to the financial benefit in buying (corruption). So the income of buyers influences in the selection of suppliers in the organizational buying. If any individual have extra income from other sources, then buyers may not be involved in corruption.

d. Job position: there may be high and low job position buyers. High level of position buyer consider various factors in buying process but low level of staff do not consider various factors in buying.

e. Personality: there are different types of personality in individual such as tough, rigid, flexible etc. Individual who consider themselves as tough engage in high bargaining while those who consider themselves as flexible, do not engage in high bargaining.

Questions

- What do you mean by buyer behavior? 2
- Sketch the model of consumer behavior. 2
- Point out the consumer buying process. 2
- Enlist the industrial buying process. 2
- List out the economic determinants of consumer behavior. 2
- Mention the socio-cultural determinants of consumer behavior. 2
- Mention the psychological determinants of consumer behavior. 2
- What is motivation? 2
- List out the environmental factors that influence industrial buying. 2
- Point out the interpersonal factors that influence industrial buying. 2
- Describe the consumer buying process. 5

- Explain about types of buying situation. 5
- Describe the economic determinants of consumer buying behavior. 5
- Explain the demographic determinants of consumer buying behavior. 5
- Describe the individual factors that determine the organizational buying. 5
- What is business buying behavior? Examine the process of business buying behavior. 10
- Explain the factors influencing organizational buying behavior. 10